CB FP&A Meeting_Initiatives and Updates

Mar 6, 2025

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

[Feb'25 Actuals]: CB ADO at 2.8mil, with EBITDA at +11mil; Lovito/SCS ADO overperformed with a standalone PnL of -2.3mil

Table: CB Feb'25 P&L breakdown by BUs

Feb'25 CB combined P&L USD			1P + Consignment			Marketplace			Total CB		
			Actuals	Target	vs Target	Actuals	Target	vs Target	Actuals	Target	vs Target
Topline		ADO	333,399	251,214	1 133%	2,439,335	2,612,310	93%	2,772,734	2,863,524	1 97%
		ADO% of CB	12.0%	8.8%	3.3%	88.0%	91.2%	-3.3%	-	-	-
		ADO% of Platform	1.1%	0.8%	0.3%	8.1%	8.5%	-0.4%	9.2%	9.3%	-0.2%
		ADGMV	1,484,093	1,171,356	127%	19,861,842	20,877,569	95%	21,345,935	22,048,924	1 97%
		ABS	4.5	4.7	-0.2	8.1	8.0	0.2	7.7	7.7	100%
P&L	I: MP	Revenue Take Rate	12.6%	11.9%	0.7%	13.8%	13.1%	0.7%	13.7%	13.0%	0.7%
		CIR%	-20.2%	-20.3%	0.1%	-10.7%	-11.1%	0.4%	-11.3%	-11.6%	0.2%
		MP PC1%	-7.6%	-8.3%	0.7%	3.1%	2.0%	1.1%	2.4%	1.4%	1.0%
		MP PC2%	-8.7%	-9.4%	0.7%	2.0%	0.9%	1.1%	1.3%	0.4%	0.9%
		MP PC2	-3,618,240	-3,086,476	-531,764	11,390,653	5,517,707	3 5,872,946	7,772,414	2,431,232	5,341,182
	II: SLS	SLS PnL	-15,640	-202,496	186,856	23,235,976	24,313,219	-1,077,243	23,220,336	24,110,723	4 -890,387
	III: Standalone	Seller P&L	-2,293,035	-3,480,217	2 1,187,182	-	-	-	-2,293,035	-3,480,217	1,187,182
	Combined MP PC2+SLS+Standalone		-5,926,915	-6,769,189	842,274	34,626,630	29,830,927	4,795,703	28,699,715	23,061,737	5,637,977
	Combined MP PC2+SLS+Standalone%		-14.3%	-20.6%	6.4%	6.2%	5.1%	1.1%	4.8%	3.7%	1.1%
	Management EBITDA		-7,386,243	-7,995,351	609,108	18,405,789	13,049,642	3 5,356,147	11,019,546	5,054,291	5,965,256
	Management EBITDA %		-17.8%	-24.4%	6.6%	3.3%	2.2%	1.1%	1.8%	0.8%	1.0%

Key Highlights:

Topline:

1 Overall CB ADO runrate at 97% and ADGMV runrate at 97% mainly from 1) MY ADO RR 86% due to slower-than-expected recovery from CNY 2) BR at 91% due to CNY impact and back-to-school trend worse than expected

- Choice order runrate 133% mainly driven by S&R traffic support exceeding expectations

P&L: **+6.0mil** vs Target

2 **Lovito/SCS Standalone: +1.2m vs target**: from COGS and WH CPI improvement, P&L expected to improve further after refresh of SG&A estimations

- **Marketplace**: **+5.4m vs target**

3 **MP**: PC2 +5.9m from higher takerate (+4.7mil mainly due to improvement in ads investment) and lower CIR% (+1.7mil)

4 **SLS**: -0.9m vs target from:
1) MY -0.8m due to orders behind target and SIP ASF rate card reduction
2) BR -1.0m due to orders behind target and Anjun-SPX ramp-up progress delayed
3) PH -0.5m due to 3P order below target

Note:
MP/SLS actuals refreshed as of Mar 4th, Seller P&L using EOM projection as a proxy. TH SLS profit excluded tax revenue and additional tax cost in both budget and actuals

***MY:** PC2 potentially lower by ~1mil due to SPL interest subsidy gap vs local reporting*

[Backup: Feb'25 Actuals] movements from W4 to Actuals +3mil, mainly due to PRM spending less than projection from VN/PH/MY

Table 1: CB EBITDA Numbers movements across W3 to Actuals

Metrics	$ amount			vs Target			WoW Changes	
	W3	W4	Actuals	W3	W4	Actuals	w4 vs w3	Actuals vs w4
ADGMV	21.9m	21.5m	21.3m	-0.2m	-0.6m	-0.7m	-0.4m	-0.1m
MP PC2	2.9m	4.7m	7.8m	0.4m	2.3m	5.3m	1.8m	3.1m
SLS	22.2m	23.2m	23.2m	-1.9m	-0.9m	-0.9m	1.0m	0.0m
Seller PnL	-2.4m	-2.3m	-2.3m	1.1m	1.2m	1.2m	0.1m	0.0m
CB EBITDA	**5.0m**	**7.9m**	**11.0m**	**+0.1m**	**2.9m**	**6.0m**	**2.9m**	**3.1m**

1 2

Table 2: Actuals vs W4 MP changes breakdown

Week	Metrics	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
W4 (as of Feb 25)	Revenue	9.8m	15.6m	12.7m	3.4m	11.5m	21.0m	7.9m	0.3m	0.1m	0.4m	82.5m
	PRM	(3.5m)	(10.9m)	(11.9m)	(1.1m)	(13.3m)	(18.9m)	(11.0m)	(0.4m)	(0.1m)	(0.2m)	(71.1m)
	MP PC2	5.3m	3.3m	(0.6m)	1.9m	(2.1m)	1.0m	(4.1m)	(0.2m)	0.0m	0.1m	4.7m
Actuals (as of Mar 3)	Revenue	9.6m	15.3m	12.7m	3.5m	11.4m	21.2m	7.5m	0.3m	0.1m	0.3m	82.0m
	PRM	(3.3m)	(10.1m)	(11.8m)	(1.1m)	(12.5m)	(18.1m)	(10.3m)	(0.4m)	(0.1m)	(0.2m)	(67.7m)
	MP PC2	5.3m	4.4m	(0.4m)	2.1m	(1.4m)	1.7m	(3.8m)	(0.1m)	0.0m	0.1m	7.8m
Actuals vs W4	Revenue	(0.2m)	(0.2m)	0.0m	0.2m	(0.1m)	0.2m	(0.4m)	0.0m	(0.0m)	(0.0m)	(0.6m)
	PRM	0.2m	0.8m	0.1m	(0.0m)	0.8m	0.8m	0.7m	0.0m	0.0m	0.0m	3.4m
	MP PC2	0.0m	1.1m	0.1m	0.2m	0.7m	0.7m	0.2m	0.0m	0.0m	(0.0m)	3.1m

2

Key Highlights: **CB EBITDA vs target**

1 **W4 +2.9mil vs W3 +0.1mil**
- **MP: +1.8mil from** TR% under projected due to over-reliance on MTD performance (e.g. Feb W2 dips from CNY-driven volatility)
- **SLS: +1mil** from 1) PH: +0.7m from liquidation rev not factor in 2)TH: +0.4m, from inaccurate std channel mix

(>> details explained in weekly report)

2 **Actual +6.0mil vs W4 +2.9mil** : due to PRM projection inaccuracy from :
- **[VN]** Projection based on fixed PRM budget and using gross instead of net during projection
- **[PH]** Late Adjustment: Budget cut / underspent PRM not factored in
- **[MY]** **[WIP]** Reporting logic gap in SPL interest subsidy with local, ~1mil (to further align the logic)

>> Feb full month WoW movement review in P8 incl.
- *Root cause on projection inaccuracy*
- *Improvement Plans*

Note: *MP/SLS actuals refreshed as of Mar 4th*

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

CB Projection Accuracy & Initiatives: (1) Regroup on EOM projection assumptions (2) Continue monitoring assumptions in budget cycle (3) Aligned on CBWH ownership

Projection	Sub Initiatives	Progress Details	PIC	ETA
Monthly Budget	A Local FP&A ownership	**MP/SLS:** Highlighted areas for improvements to local team, **require monitoring in upcoming budget cycle** and continue to track accuracy **Warehouse P&L: Locals to start projecting in upcoming cycle,** CB FP&A completed walkthrough with locals on previous methodology. To guide and monitor this cycle	CB FP&A Local F&A	Q1 2025
	B Monthly Scorecard Issue Call out	**MP:** Feb'25 **+2%** (vs. +12% in Jan) **SLS:** Feb'25 **-6%** (vs. +8% in Jan) **Warehouse P&L:** Pending actuals **Choice P&L:** Pending actuals **To send out scorecard via email once actuals are finalized**	CB FP&A	Q1 2025
Weekly EOM Projection	C Local FP&A ownership	**MP Projection:** from local FP&A already **Warehouse P&L: aligned with local teams on CBWH ownership** ● To start monitoring weekly accuracy	CB FP&A Local F&A Local WH	Mar 2025
	D Weekly Projection Accuracy & Fluctuation	**To monitor EOM projections accuracy vs. actuals:** (1) Rework with locals on MP take-rate and CIR assumptions (2) To account for SLS liquidation revenue projections and finetune pacing projections	CB FP&A	Mar 2025

A. [Budget: Local FP&A ownership] Observed issues with SLS assumptions input lack of business understanding but based on M-1 actuals, memos to share with local on correct way

Table: Example on VN SLS assumptions inputs mismatch btw metrics

Metrics	PIC	Channel ID	Channel Name	Actuals Jan'25	Prj. Feb'25	Prj. Mar'25	Prj. Apr'25	Prj. May'25	Prj. Jun'25	Prj. Jul'25	Prj. Aug'25	Prj. Sep'25	Prj. Oct'25	Prj. Nov'25	Prj. Dec'25
SLS outbound orders / net orders	Local	/	/	104%	86%	87%	87%	87%	87%	87%	87%	87%	87%	87%	87%
	CB	/	/	104%	106%	104%	104%	105%	105%	106%	106%	107%	107%	107%	107%
	GAP	/	/	0%	20%	17%	17%	18%	18%	19%	19%	20%	20%	20%	20%
Channel Splits	Local	58007	Std.	66%	73%	73%	73%	73%	73%	73%	73%	73%	73%	73%	73%
		58008	Std. - NNWH	25%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%	22%
		58015	Std. - 5DD	7%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
		58017	Std. - 5DD (NNWH)	3%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
	CB	58007	Std.	66%	67%	66%	67%	66%	66%	66%	65%	65%	65%	65%	65%
		58008	Std. - NNWH	25%	24%	24%	24%	24%	25%	25%	26%	26%	26%	26%	26%
		58015	Std. - 5DD	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%	7%
		58017	Std. - 5DD (NNWH)	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
	GAP	58007	Std.	0%	-6%	-7%	-6%	-7%	-7%	-7%	-8%	-8%	-8%	-8%	-8%
		58008	Std. - NNWH	0%	2%	2%	2%	2%	3%	3%	4%	4%	4%	4%	4%
		58015	Std. - 5DD	0%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%	4%
		58017	Std. - 5DD (NNWH)	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%

1

2

Key Highlights:

Inaccurate assumptions inputs:

- **Projection method improvement required:** based on M-1 actuals without taking into account business changes
- Problem Illustration listed:
  1. **Outbound ratio** (affect SLS **order base**): without considering KK outbound from SLS unlike M-1, result in less orders projected
  2. **Channel mix** (affect **SLS UE** as diff channel have diff UE): VN NNWH orders ramping up has correlation with channel 58008, mismatch in inputs result in **3mil** profit gap
  - **Weight projection**(affect **SLS UE**): follow M-1, but w/o considering special events in Feb (XDD suspension drastically shifted the XDD vs. Std channel mix) which affect the weight of each channel

>> actions taken: memo to share with local on logic

Delayed Input from multiple mkts

- PH: +0.5 day Delay; VN/TH +2day Delay
- This give us less time to cross-check output, and hence inaccurate data

>> actions taken: emphasize on timeline sensitivity through email

D. [Weekly Projection Accuracy]: CB EOM projections accuracy still have room for improvement; (1) To align on take-rate and CIR assumptions (2) Account for liquidation revenue and pacing assumptions

Table 1: Feb'25 Weekly EOM Projection vs. Actuals accuracy performance (#)

Metrics	Weeks	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
ADO	W1	166,398	420,261	429,427	56,575	698,267	861,619	233,725	5,605	4,251	5,850	2,881,978
	W2	165,996	407,341	438,986	60,165	698,267	810,868	239,934	4,695	4,251	5,850	2,836,353
	W3	165,950	395,769	430,573	60,837	724,066	820,746	240,252	4,951	3,434	5,958	2,852,536
	W4	166,490	375,468	430,209	60,554	692,248	800,700	240,252	4,951	3,434	5,958	2,780,263
	Proj. Actuals	166,925	371,196	431,098	61,784	692,564	802,882	232,246	5,042	3,404	5,593	**2,772,734**
MP PC2	W1	4.9m	3.8m	(1.1m)	1.6m	(2.1m)	(0.5m)	(3.6m)	(0.2m)	0.0m	0.2m	3.0m
	W2	5.3m	3.7m	(1.1m)	1.4m	(2.1m)	0.1m	(4.0m)	(0.1m)	0.0m	0.2m	3.4m
	W3	(1) 4.9m	3.1m	(1.5m)	1.7m	(1.4m)	0.2m	(4.1m)	(0.2m)	0.0m	0.1m	(1) **2.9m**
	W4	5.3m (2)	3.3m	(0.7m)	1.9m	(2.1m)	1.0m	(4.1m)	(0.2m)	0.0m	0.1m	(2) 4.6m
	Proj. Actuals	5.3m	4.3m	(0.4m)	2.1m	(1.4m)	1.6m	(3.8m)	(0.1m)	0.0m	0.1m	**7.7m**
SLS	W1	1.7m	3.5m	2.8m	0.6m	2.9m	6.9m	5.3m	0.3m	0.1m	0.3m	24.4m
	W2	1.6m	3.2m	2.9m	0.6m	3.1m	6.2m	5.3m	0.3m	0.1m	0.3m	23.7m
	W3	1.6m	2.8m (3)	2.6m	0.6m	4.0m	5.0m	4.8m	0.3m	0.1m	0.3m	(3) 22.2m
	W4	1.7m	2.6m	3.0m	0.7m	3.8m	5.8m	4.7m	0.4m	0.1m	0.4m	23.2m
	Proj. Actuals	1.7m	2.6m	3.0m	0.7m	3.8m	5.7m	4.8m	0.4m	0.1m	0.4m	**23.2m**
Choice P&L	W1	(0.1m)	(0.9m)	(0.8m)	0.0m	(0.4m)	(0.6m)	(0.0m)	(0.0m)	(0.0m)	(0.0m)	(2.8m)
	W2	0.0m	(0.7m)	(0.7m)	0.0m	(0.5m)	(0.6m)	0.2m	(0.0m)	(0.0m)	0.0m	(2.3m)
	W3	0.0m	(0.7m)	(0.8m)	0.0m	(0.5m)	(0.6m)	0.2m	(0.0m)	0.0m	0.0m	(2.4m)
	W4	0.0m	(0.7m)	(0.8m)	0.0m	(0.5m)	(0.6m)	0.2m	(0.0m)	0.0m	0.0m	(2.3m)
	Proj. Actuals	0.0m	(0.7m)	(0.7m)	0.0m	(0.5m)	(0.6m)	0.2m	(0.0m)	(0.0m)	0.0m	(4) **(2.3m)**

Context: we've noticed a volatile EOM projection every week since Jan starts, hence do a monitor in Feb

Key Highlights:

[OK] ADO: accuracy within 3% range

[To Improve] MP P&L: **projection method** improve needed in take-rate and CIR assup

1. **Over-reliance on MTD perf. in takerate**
   - 1st fortnight lower ads takerate due to mega campaign => result in underestimate
   - Feb stands out due to CNY volatility
2. **Delayed updates in PRM/CIR%**
   - VN/MY Fixed PRM ($): per fixed PRM budget
   - VN using Gross PRM: instead of Net PRM
   - PH Late Adjustment: late month Budget cut / underspent mid month PRM not factored in

[To Improve] SLS P&L: **flaws** from pacing assumptions from local without factor in MTD performance

- **Orders:** Underprojected outbound order% due to slow CNY recovery (*CNY specific*)

3. **UE:** Higher actualized PPO from channel mix and liquidation revenue

[To Improve] Choice P&L: expect G&A +0.7mil, to monitor and reinforce if trends sustain

Next Step:

- Establish weekly projection accuracy tracking to emphasize in time refresh and insights sharing
- provide CB FP&A estimation and request local to explain if there is gap

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

Feb CB Foregone Revenue: ~0.8mil total true foregone revenue(excl. intercompany), a 7% of CB EBITDA

Table: CB Feb'25 Foregone Revenue overview

SN	BU	Foregone Revenue Details	Type	Business Impact			Review Process		
				Feb'25	% of BU revenue	% of CB EBITDA	Review Frequency	Approval Chain	
1	MP Rev	Regional Initiatives (Apply to both CB and local)	True Foregone	376k	0.5%	3.4%	Monthly	Ian/JH/Ctry Heads	>> details in later slide
2		CB Category Incentives	True Foregone	284k	0.3%	2.6%			
3		CB Strategic Seller Programs	True Foregone	-	0.0%	0.0%			
4		FBS Incentives	True Foregone	99k	0.1%	0.9%			
5		Incubation sellers Incentives	True Foregone	34k	0.0%	0.3%			
6		Choice Incentive	InterCompany	504k	0.6%	4.6%	TBD	Ian	
		MP revenue Sum	**All**	1,298k	1.6%	11.8%			
7	SLS Rev	Seller Direct Discount - Lovito/SCS	InterCompany	5,674k	6.9%	51%	Quarterly	Ian/JH	>> discussion in later slide
		SLS Revenue Sum	**All**	5,674k	6.9%	51%			
8	WH Rev	Choice Storage Fee Waiving + Handling Fee Discounts	InterCompany	82k	5.9%	0.7%	Adhoc	Ian/JH/Ctry Heads	
9		VIP Sellers	True Foregone	3k	0.2%	0.0%			
		Warehouse Revenue Sum	**All**	85k	6.2%	0.8%			
		MP+ SLS + WH Revenue Sum	**InterCompany**	6,260k		57%			
		MP+ SLS + WH Revenue Sum	**True Foregone**	797k		7%			
		MP+ SLS + WH Revenue Sum	**All**	7,057k		64%			

A. MP Commission Waiving | ~$0.7mil commission waived in Feb (excl. Choice 2% discount), ~1.0% of CB MP Revenue

Table: Monthly Foregone Revenue Tracker (Feb'25)

Performance		Program Overall (Feb'25)			Breakdown of all Programs (Feb'25)							
		Program Overall (M-0)	Program Overall (M-1)	MoM Change	Fast Shipping Program - TH & PH	CNCB - Mobile Category	HKCB - EL	FBS Boosting Program - VN	SGCB - Newly Onboard FBS shops	Regional SSP - VN & TW	MYCB - Newly Onboard FBS shops	HKCB - Collectibles
Shop #		3,006	2,742	9.6%	2,447	59	37	173	30	205	52	3
Topline	ADO	125,121	162,676	-23.1%	90,769	1,351	192	14,968	1,592	13,805	2,133	311
	ADGMV	980,588	1,133,971	-13.5%	584,263	118,431	50,141	80,236	27,348	78,994	19,083	22,092
P&L	Revenue	$ 5,364,312	$ 6,710,379	-20.1%	$ 3,423,136	$ 281,043	$ 129,182	$ 515,942	$ 148,272	$ 699,143	$ 89,062	$ 78,533
	PRM Cost	$ (4,236,132)	$ (5,351,802)	-20.8%	$ (2,584,544)	$ (367,100)	$ (91,663)	$ (488,527)	$ (86,547)	$ (495,128)	$ (78,249)	$ (44,373)
	Take Rate%	19.5%	19.1%	0.4%	20.9%	8.5%	9.2%	23.0%	19.4%	31.6%	16.7%	12.7%
	PC1%	4.1%	3.9%	0.2%	5.1%	-2.6%	2.7%	1.2%	8.1%	9.2%	2.0%	5.5%
	PC2%	3.1%	3.9%	-0.8%	4.0%	-3.8%	1.3%	0.7%	6.3%	8.7%	1.0%	4.5%
Ops	LSR	0.9%	0.9%	0.0%	0.4%	0.2%	0.8%	0.8%	0.3%	2.0%	0.4%	0.0%
	NFR	1.1%	1.1%	0.0%	0.7%	0.8%	2.2%	1.2%	0.7%	1.8%	0.9%	0.0%
Foregone Revenue		758,842	717,838	5.7%	351,855	232,132	42,659	37,936	37,398	24,344	23,625	8,893

Note: Foregone revenue calculated based on standard 3P SLS charge rate

Key Highlights:

Total we have **~3k** shops on commission waiving program with **~$0.7mil** truly foregone revenue (excluding Choice 2% comms discount)

New special commission waiving programs:

- **[Approved]**
  - **[PH] LFF incentives:** full comms waiver to newly onboard FBS shops, effective from Mar
  - **[CL] LFF incentives:** full comms waiver to newly onboard 3PF shops, effective from Apr
- **[Under discussion]**
  - **[SG/TW/VN] KRCB new sellers incentive:** further 3 month full comms waiver to new KRCB shops that meet seller investment criteria
  - **[PH] Focus Brands Program:** following local to give 0.5% - 4.5% to mall brands with higher ADG growth

B. Choice ASF Discount: Previously aligned to keep SLS P&L slightly above breakeven, quarterly review to decide if revision to ASF discount is needed due to recent UE changes

Table: Lovito/SCS FY25 SLS P&L projections (as of Feb 24th)

Market	Lovito			SCS		
	Current Discount (%)	Forgone Revenue	FY25 P&L	Current Discount (%)	Forgone Revenue	FY25 P&L
SG	35%	466,196	**247,229**	20%	2,068,113	**438,716**
MY	34%	1,822,331	(187,315)	30%	5,408,738	(517,726)
TH	35%	1,576,900	(163,191)	39%	11,476,507	**50,499**
TW	35%	9,545	(3,416)	26%	299,063	**17,791**
VN	42%	569,161	(84,120)	30%	5,380,402	(817,735)
PH	33%	4,027,560	(579,322)	29%	8,980,848	(163,953)
BR	34%	4,064,203	**57,169**	34%	22,269,312	**7,315,105**
MX	35%	20,821	**9,077**	25%	90,216	**73,613**
CO	35%	10,666	**4,279**	0%	-	**45,858**
CL	35%	11,812	(416)	0%	-	**30,290**
Total		**12,579,195**	**(700,025)**		**55,973,199**	**6,472,456**

Key Highlights:

Performance monitor:

- Foregone revenue FY at ~69mil
- SLS Profit turned to quite positive mainly from
  - BR LM/LH cost improvements
  - Netting off by VN with new NNWH rate card launched

[Quarterly Review - For Discussion]: Do we revise ASF discount to charge true cost to Choice?

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

[Mar'25] CB Base Commission Rate Review: CB MP-SLS all competitive vs Local except BR, where we maintain existing charge rate to be competitive vs AE

Table 1: Commission Charge per seller type (as of Mar 1st, CNCB)

Mkt		SG	MY	TH	TW	VN	PH	BR
Mall	Marketplace - SLS (1)	13%	15%	(3) 9%	7%	12.36%	9.00%	10.00%
	FBS	9%	10%	3%	-	9.09%	4.5~7.92%	-
	3PF (2)	11%	12.5%	8%	-	1.5~13.87%	8.24~11.56%	12%*
	Local	8% - 10%	7% - 17%	5-11%	7%	1% - 13.9%	5.5% - 10%	12% + 4BRL/item
	CB MP vs Local	**Higher**	**Higher**	**Higher**	**Same**	**Higher**	**Higher**	**Lower**
Non Mall	Marketplace - SLS (1)	13%	15.0%	7%	7%	12.36%	9.00%	10.00%
	FBS	9%	10.0%	1%	-	9.09%	4.64%	-
	3PF (2)	11%	12.5%	6%	-	1.5%~9.5%	7.80%	12%*
	Local	5%	8% - 13%	5-9%	7%	1-4%	6.5% - 7.8%	12% + 4BRL/item
	CB MP vs Local	**Higher**	**Higher**	**Higher**	**Same**	**Higher**	**Higher**	**Lower**

** local sellers charge rate to double confirm on Mar latest charge*

Key Highlights:

Confirmed base commission changes

(1) **Type 1: Base Commission Increase**
- **MY: +1%** to MP-SLS sellers **(w.e.f Mar 6)**
- **TH: +1%** to non-mall sellers **(w.e.f Mar 1)**
- **VN: +7%** to all sellers, while offering free FSS (currently 7%) to all sellers. (**w.e.f Apr 1**)

(2) **Type 2: 3PF commission increase**
- **SG: +2%** to 3PF sellers(w.e.f **Mar 18)**
- **MY: +1.5%** to 3PF sellers (w.e.f **Mar 6**)
- **TH: +4%** to 3PF sellers (w.e.f **Mar 1)**

(3) **Type 3: Specific Mall seller increase**
- **TH:** +3% to mall sellers per last THCB mgmt meetin alignment, post change expect effective charge rate +2.3% more vs local mall (w.e.f **Mar 1)**

Post adjustments:

- **All competitive** vs local **except BR** to continue existing charge to be competitive vs competitor despite lower than local charge rate

[Mar'25] base commission setting review: Set up 319 rules across 3 setting types, and revealed incorrect configurations input from local team, highlighting the need to reinforce SOPs and simplify the rules

Table 1:CB live Base Commission Rules (as of Mar Cycle)

	SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
Layer 1: Base rule (apply to all CB sellers)											
CNCB	7	2	12	2	4	3	0	4	5	5	44
KRCB	7	2	18	3	6	3	0	8	4	7	58
JPCB	3	0	6	1	5	1	0	2	2	2	22
HKCB	5	0	12	2	2	1	0	2	2	2	28
others	24	2	0	1	0	1	0	0	0	0	28
Total (1)	46	6	48	9	17	9	9	16	13	16	**189**
Layer 2: LFF base rule (apply to fulfilment types)											
FBS	1	4	8	0	3	1	0	0	0	0	17
3PF	1	2	9	0	5	24	0	1	0	1	43
Total (2)	2	6	17	0	8	25	0	1	0	1	**60**
Layer 3: special rule (apply to specific category/shops)											
CNCB	0	6	5	1	1	4	1	1	0	1	20
KRCB	0	0	0	0	1	0	0	0	0	0	1
JPCB	1	1	1	1	1	1	1	1	1	1	10
HKCB	2	2	2	2	2	2	2	2	2	2	20
FBS	1	1	0	0	32	1	0	0	0	0	35
3PF	1	0	0	0	3	0	0	0	0	0	4
Total (3)	**5**	**4**	**3**	**3**	**39**	**4**	**3**	**3**	**3**	**3**	**70**
Total (1+2+3)	**53**	**16**	**68**	**12**	**64**	**38**	**12**	**20**	**16**	**20**	**319**

Key Highlights:

Increased Error Observed: due to Complexity and Risks from following reasons

- Multiple Rules for smaller business introducing risks in error (e.g. TH provide rule details but wrong in HKCB and KRCB base rate)
- System define applicable rate by time of setting instead of priority, which CB is more complicated

Actions To Taken:

- **Process Reinforcement: To get Ian's endorsement on following practice**
  - Require all BU and Mkt to follow SOP to propose commission rate adjustments
  - To inform us ahead before raising proposals to ensure feasibility
- **To review on reasonability on setting complex rules**
  - MYSG Direct: small business
  - TH KR Beauty: multiple GMV tiering
  - VN FBS: 0.1% interval incentive
  - PH 3PF: by listing level setting

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

SPX still have room for rate reduction in MY and PH based on true cost, but operating at a loss in TH.

Table: MY/TH/PH LM SPX mkt share and rate comparison (true cost + charing rate) (Feb'25)

Region	Zone	Port	Order Coverage		LM cost/pc			Cost Gap		Note: Reason For using other vendors (A- rate card; B-ablity; C-Coverage; D-Capacity; E-Strategic Parter)
			Zone Share (% of mkt)	SPX share (% of lane)	SPX (Charge Rate)	SPX (True Cost)	3PL (Charge Rate)	SPX charge rate vs 3PL charge rate	SPX true cost vs 3PL charge rate	
MY	WM (Non KV)	"KUL"	35%	82%	0.60	0.54	0.54	Expensive	On Par	C) Remote Areas
		"SZB"	10%	83%	0.60	0.54	0.54	Expensive	On Par	A) Rate card -> resolved
		"KLP"	4%	-			0.54	Not covered	Not covered	B) Ability constraint - Sea
	WM (Klang Valley)	"KUL"	24%	84%	0.60	0.54	0.54	Expensive	On Par	A) Rate card -> resolved
		"SZB"	7%	85%	0.60	0.54	0.54	Expensive	On Par	
		"KLP"	3%	-			0.54	Not covered	Not covered	B) Ability constraint - Sea
	EM (Sarawak)	"KCH"	7%	-			0.69	Not covered	Not covered	
		"BKI"	1%	55%	0.68	0.63	0.69	Cheap	Cheap	C) Remote areas
	EM (Rest of EM)	"BKI"	9%	25%	0.68	0.63	0.68	Expensive	Cheap	
MY	**Overall**	**/**	**100%**	**66%**	**0.60**	**0.56**	**0.56**			
TH	GBKK (incl CBKK)	"TBKK"	35%	96%	0.45	0.35	0.40	Expensive	Cheap	
		"BKK"	0%	-			0.40	Not covered	Not covered	
	UPC(areas except for GBKK)	"TBKK"	36%	95%	0.45	0.51	0.47	Cheap	Expensive	B) Ability in handle air orders C) Capacity limit
		"BKK"	1%	-			0.45	Not covered	Not covered	
		"TMDH"	5%	-			0.54	Not covered	Not covered	
		"TKKA"	22%	100%	0.45	0.55		Expensive	Expensive	
	Remote Area	"TBKK"	1%	97%	0.59	1.93	1.93	Cheap	On Par	
TH	**Overall**	**/**	**100%**	**91%**	**0.45**	**0.48**	**0.36**			
PH	Metro Manila	"MNL"	18%	99%	0.46	0.55	0.47	Cheap	Expensive	B) Ability for prohibited E) Strategic Partners
	GMA	"MNL"	16%	98%	0.46	0.53	0.48	Cheap	Expensive	
	Luzon	"MNL"	27%	81%	0.70	0.58	0.84	Cheap	Cheap	B) Ability for prohibited category C) Remote areas E) Strategic Partners
	Visayas	"CEB"	18%	51%	0.84	0.80	0.84	Cheap	Cheap	
	Mindanao	"DVO"	20%	44%	0.84	0.85	0.85	Cheap	On Par	
PH	**Overall**	**/**	**100%**	**74%**	**0.62**	**0.66**	**0.72**			
SG	**Overall**	**/**	**100%**	**99%**	**1.25**			/	/	
VN	**Overall**	**/**	**100%**	**100%**	**0.51**			/	/	

**For interco charge rate, MY is based on BEST, TH on Flash and PH on JnT LM CPO for Feb (3PL lead time same)*
***TH remote areas SPX assumes true cost same as 3PL charge rate*

Key Highlights

1. SPX coverage **>70%** for all SEA mkts, where SG/VN ~100%, TH 90%, MY/PH 70%
   - TH: due to SPX capacity issue
   - PH: due to
     - Strategy partners of 2GO.
     - Remote areas that SPX no existence in Luzon/Vis/MND
     - Prohibited Category
2. MY:
   - Charge Cost vs Best => after SPX true cost, benchmarkable
   - Ablity to handle Sea orders
   - Remote areas in EM where SPX has no existence

Next Step:

- Review TW: yet receive TW true cost, ETA: Friday EOD
- 3 Review TH: 48% of orders is at a cost disadvantage despite >95% given to SPX, cost improvements on SPX to ~$0.48 by 2025
- Discuss 3PX intercon charge rate and rebates

Backup: detailed vendors across SEA on share/cost/lead time

Table: MY/TH/PH by LM vendor on mkt share and rate comparison (Feb'25)

Region	Zone	Port	Shipment	Market	Share to zone/port						LM cost/pc (charge rate)								Lead time						
				Total	SPX	JnT	Flash	Best(	2GO(	Other	SPX	SPX	JnT	Flash	Best(	2GO(	Other	Total	SPX	JnT	Flash	Best(	2GO(	Other	Total
MY	WM (Non KV)	"KUL"	Air	35%	82%	0%	1%	17%	-	1%	0.60	0.54	0.67	0.70	0.54		0.81	0.59	1.11	1.41	1.64	1.59		1.24	1.19
MY		"SZB"	Air	10%	83%	-	0%	17%	-	0%	0.60	0.54		0.71	0.54		0.81	0.59	1.10		1.69	1.57		1.24	1.18
MY		"KLP"	Sea	4%	-	-	-	100%	-	0%		0.54			0.54			0.54				1.57			1.57
MY	WM (Klang Valley)	"KUL"	Air	24%	84%	0%	0%	16%	-	0%	0.60	0.54	0.64	0.69	0.54		0.81	0.59	0.95	1.30	0.89	1.18		2.59	0.99
MY		"SZB"	Air	7%	85%	-	0%	15%	-	0%	0.60	0.54		0.70	0.54		0.80	0.59	0.95		1.00	1.18		2.26	0.99
MY		"KLP"	Sea	3%	-	-	-	100%	-	0%		0.54			0.54			0.54				1.23			1.23
MY	EM (Sarawak)	"KCH"	Sea/air	7%	-	0%	27%	22%	-	51%		0.63	0.69	0.79	0.69		0.82	0.78		2.04	2.22	2.39		1.90	2.05
MY		"BKI"	Sea/air	1%	55%	-	-	0%	-	45%	0.68	0.63			0.69		1.08	0.86	2.33			3.19		1.21	1.80
MY	EM (Rest of	"BKI"	Sea/air	9%	25%	1%	24%	20%	-	30%	0.68	0.63	0.68	0.79	0.69		0.82	0.75	1.83	3.24	2.04	1.86		1.60	1.82
MY	**Overall**			**100%**	**66%**	**0%**	**4%**	**23%**	**-**	**7%**	**0.60**	**0.56**	**0.68**	**0.79**	**0.56**		**0.83**	**0.61**	**1.07**	**3.04**	**2.07**	**1.48**		**1.73**	**1.24**
TH	GBKK (incl CBKK)	"TBKK"	Land	35%	96%	-	4%	-	-	-	0.45	0.35		0.40				0.44	0.75		1.04				0.76
TH		"BKK"	Air	0%	-	-	100%	-	-	-		0.35		0.40				0.40			0.98				0.98
TH	UPC(areas except for GBKK)	"TBKK"	Land	36%	95%	-	5%	-	-	-	0.45	0.51		0.47				0.45	1.13		1.61				1.15
TH		"BKK"	Air	1%	-	-	100%	-	-	-		0.51		0.45				0.45			1.55				1.55
TH		"TMDH"	Land	5%	-	-	100%	-	-	-		0.55		0.54				0.54			1.69				1.69
TH		"TKKA"	Land	22%	100%	-	-	-	-	-	0.45	0.55						0.45	1.35						1.35
TH	Remote Area	"TBKK"	Land	1%	97%	-	3%	-	-	-	0.59	1.93		1.93				0.63	1.65		2.05				1.66
TH		"TMDH"	Land	0%	-	-	100%	-	-	-		1.93		1.93				1.93			2.57				
TH	**Overall**			**100%**	**91%**	**-**	**9%**	**-**	**-**	**-**	**0.45**	**0.48**		**0.51**				**0.46**	**1.04**		**1.53**				**1.09**
PH	Metro	"MNL"	Sea/Air	18%	99%	1%	-	-	-	-	0.46	0.55	0.47					0.46	0.91	0.96					0.91
PH	GMA	"MNL"	Sea/Air	16%	98%	1%	-	-	1%	-	0.46	0.53	0.48			0.74		0.46	0.89	0.95			1.43		0.90
PH	Luzon	"MNL"	Sea/Air	27%	81%	10%	-	-	9%	-	0.70	0.58	0.84			0.74		0.72	1.40	2.45			2.70		1.60
PH	Visayas	"MNL"	Sea/Air	0%	100%	-	-	-	-	-	0.85							0.85	2.06						2.06
PH		"CEB"	Sea/Air	18%	51%	11%	-	-	37%	1%	0.84	0.80	0.84			0.91	0.84	0.87	1.96	2.15			3.30	2.06	2.45
PH	Mindanao	"MNL"	Sea/Air	0%	100%	-	-	-	-	-	0.85								1.63						1.63
PH		"DVO"	Sea/Air	20%	44%	28%	-	-	25%	3%	0.84	0.85	0.85			0.92	0.87	0.86	1.86	2.55			4.16	1.99	2.56
PH	**Overall**			**100%**	**74%**	**11%**	**-**	**-**	**14%**	**1%**	**0.62**	**0.66**	**0.84**			**0.89**	**0.87**	**0.69**	**1.28**	**2.40**			**3.43**	**2.00**	**1.65**

Agenda

- **CB Performance update**
  - Feb’25 Actuals Performance (as of Mar 3rd)
  - Feb WoW changes Explanation
- **Key Initiatives Updates**
  - **All BU**: CB P&L Projection Accuracy Improvement Initiatives
  - **All BU**: Shopee CB Foregone Revenue Monthly Review
  - **Marketplace P&L**: Mar’25 Commission Setting Update
  - **SLS**: SEA Last Mile SPX comparison vs 3PL vendors
  - **Choice P&L**: VAT impact to seller P&L

Choice FY25 P&L: FY25 P&L expected to be at -2.4mil, worsen by -3.8mil vs last submission due to inclusive of expected VAT impact in platform fees where overall break even delay by 1 month

Diagram: Illustration of VAT incurred/payable to Local Tax Authorities

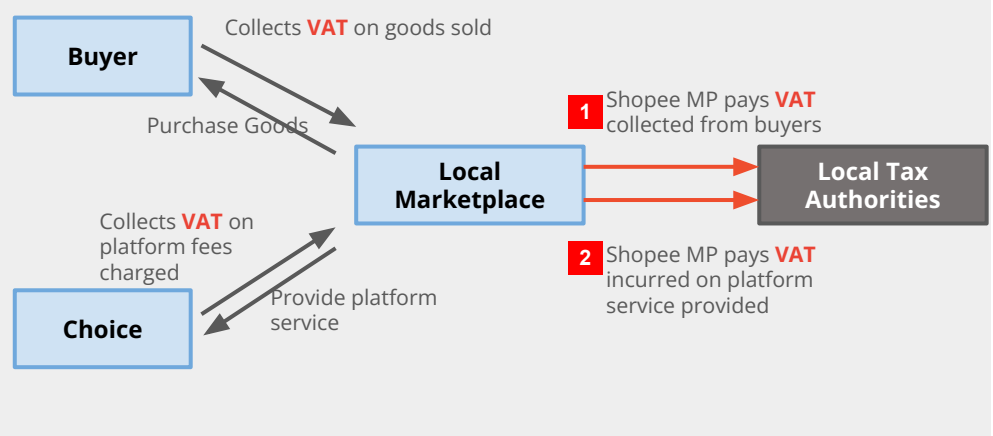

Table: FY25 P&L impact from VAT logic adjustment

P&L	Lovito	SCS
FY25 Seller P&L(Current)	0.47m	0.95m
(-) VAT impact	-0.98m	-2.85m
FY25 Seller P&L(Adj.)	-0.51m	-1.90m

Key Highlights

Context: Reg FPA is requesting for Choice to **include the VAT impact in Standalone P&L**, after identifying a gap on commission fees reported per Sea Fin and Choice.

Current mgt reporting logic: MP revenue is reported as net of VAT, similarly commission fees in Choice P&L is reported as net of VAT *(as advised by Reg FP&A back in Jun'24)*

New reporting logic: Shopee collects and pays 2 forms of VAT to Local tax Authorities(in actual scenario)

1. **VAT** on goods sold on platform collected from buyers
2. **VAT** on platform service provided by Shopee MP collected from Sellers
   >>> which Reg FP&A would want this to be reported in Choice Standalone P&L to close up the gap with Sea Fin reporting

Timeline and Impact:

- **Implementation timeline:** Feb'25 actuals, Apr'25 projections in upcoming budget cycle
- **Impact to CB SCS/Lovito:**
  - **FY25 P&L** to be worsen from +1.4mil to **-2.4mil*** (worse off by -3.8mil), mainly driven by PH of -1.4mil from 12% VAT
  - **Breakeven timeline:** Lovito - May'25, no change and **SCS delayed to Jun'25**
- **However, this doesn't affect local SCS as this VAT can be used as VAT credits** *(to double confirm with Reg FP&A)*

** Simulation based on FY 2025 Choice P&L submitted in Mar'25 budget cycle (assuming no P&L improvement)*

Backup: Lovito/SCS seller P&L detail monthly breakdown

Table: FY2025 Choice P&L (after factoring expected VAT)

Ver	BU	mkts	VAT	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY25
Seller P&L (BEFORE VAT impact)	Lovito	Total	-	-0.43m	-0.91m	-1.05m	-0.32m	0.15m	0.17m	0.51m	0.51m	0.48m	0.47m	0.44m	0.45m	0.47m
		MY	8%	-0.08m	-0.25m	-0.23m	-0.05m	0.03m	0.04m	0.14m	0.14m	0.14m	0.14m	0.13m	0.13m	0.27m
		TH	7%	-0.11m	-0.18m	-0.19m	-0.11m	-0.02m	-0.02m	0.02m	0.02m	0.02m	0.02m	0.01m	0.01m	-0.53m
		TW	5%	0.00m	-0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.01m
		VN	10%	-0.01m	-0.06m	-0.08m	-0.05m	-0.02m	-0.02m	0.01m	0.01m	0.01m	0.01m	0.01m	0.01m	-0.20m
		PH	12%	-0.29m	-0.37m	-0.37m	-0.13m	0.03m	0.04m	0.15m	0.15m	0.15m	0.15m	0.14m	0.15m	-0.18m
		BR	2.04%	0.06m	-0.03m	-0.16m	0.04m	0.13m	0.12m	0.17m	0.16m	0.15m	0.14m	0.13m	0.12m	1.02m
	SCS	Total	-	-0.57m	-1.37m	-2.04m	-0.58m	0.06m	0.32m	0.90m	0.93m	0.84m	0.88m	0.70m	0.87m	0.95m
		MY	8%	-0.36m	-0.44m	-0.35m	-0.26m	-0.08m	-0.04m	0.05m	0.05m	0.02m	-0.02m	-0.04m	-0.04m	-1.53m
		TH	7%	-0.58m	-0.57m	-0.61m	-0.20m	-0.10m	-0.06m	0.06m	0.05m	0.03m	0.06m	0.02m	0.05m	-1.83m
		TW	5%	0.01m	0.03m	0.01m	-0.01m	-0.00m	-0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.05m
		VN	10%	-0.27m	-0.39m	-0.54m	-0.05m	0.02m	0.04m	0.12m	0.12m	0.11m	0.12m	0.09m	0.11m	-0.50m
		PH	12%	-0.16m	-0.26m	-0.31m	0.04m	0.19m	0.27m	0.38m	0.38m	0.36m	0.42m	0.35m	0.39m	2.06m
		BR	2.04%	0.77m	0.22m	-0.30m	-0.12m	-0.01m	0.05m	0.19m	0.23m	0.24m	0.20m	0.19m	0.26m	1.93m
VAT Impact Adj	Lovito	Total	-	0.00	-0.06m	-0.06m	-0.08m	-0.09m	-0.09m	-0.10m	-0.10m	-0.10m	-0.10m	-0.10m	-0.10m	-0.98m
	SCS	Total	-	0.00	-0.19m	-0.18m	-0.20m	-0.23m	-0.25m	-0.29m	-0.29m	-0.29m	-0.30m	-0.30m	-0.32m	-2.85m
Seller P&L (AFTER VAT impact)	Lovito	Total	-	-0.43m	-0.97m	-1.12m	-0.40m	0.06m	0.08m	0.41m	0.41m	0.38m	0.37m	0.34m	0.35m	-0.51m
		MY	8%	-0.08m	-0.26m	-0.24m	-0.07m	0.01m	0.02m	0.11m	0.12m	0.11m	0.11m	0.11m	0.10m	0.05m
		TH	7%	-0.11m	-0.19m	-0.20m	-0.13m	-0.04m	-0.03m	0.00m	0.00m	0.00m	-0.00m	-0.01m	-0.01m	-0.71m
		TW	5%	0.00m	-0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.00m	0.01m
		VN	10%	-0.01m	-0.07m	-0.09m	-0.06m	-0.03m	-0.03m	0.01m	0.01m	0.01m	0.00m	0.00m	0.00m	-0.25m
		PH	12%	-0.29m	-0.40m	-0.39m	-0.17m	-0.01m	-0.00m	0.10m	0.11m	0.10m	0.10m	0.09m	0.11m	-0.66m
		BR	2.04%	0.06m	-0.04m	-0.17m	0.03m	0.13m	0.12m	0.17m	0.15m	0.14m	0.14m	0.12m	0.12m	0.96m
	SCS	Total	-	-0.57m	-1.56m	-2.22m	-0.78m	-0.17m	0.07m	0.61m	0.64m	0.56m	0.57m	0.40m	0.55m	-1.90m
		MY	8%	-0.36m	-0.48m	-0.39m	-0.31m	-0.14m	-0.10m	-0.02m	-0.02m	-0.05m	-0.09m	-0.11m	-0.12m	-2.20m
		TH	7%	-0.58m	-0.59m	-0.64m	-0.25m	-0.16m	-0.11m	-0.01m	-0.02m	-0.04m	-0.01m	-0.05m	-0.02m	-2.48m
		TW	5%	0.01m	0.03m	0.01m	-0.01m	-0.00m	-0.00m	0.00m	0.00m	-0.00m	0.00m	0.00m	0.00m	0.03m
		VN	10%	-0.27m	-0.43m	-0.57m	-0.08m	-0.01m	0.01m	0.08m	0.08m	0.07m	0.07m	0.04m	0.06m	-0.94m
		PH	12%	-0.16m	-0.32m	-0.36m	-0.02m	0.11m	0.19m	0.29m	0.29m	0.27m	0.32m	0.26m	0.29m	1.17m
		BR	2.04%	0.77m	0.20m	-0.32m	-0.13m	-0.02m	0.04m	0.18m	0.21m	0.22m	0.18m	0.17m	0.24m	1.74m

FY cannot breakeven, and breakeven timeline delayed by one month

Note: Simulation based on FY 2025 Choice P&L submitted in Mar'25 budget cycle

Shopee

THE END